

Daily Need to Know

Monday, 20 July 2026

Everything to know before the office. Overnight = Friday 17 July US session + weekend. All times GMT+8.

Market snapshot (Fri 17 Jul close)

Instrument	Level	Move (Fri 17 Jul close)
S&P 500	7,457.69	▼ -1.0%
Nasdaq Composite	25,520.24	▼ -1.4%
Dow Jones	52,146.42	▼ -0.8% • -407 pts
Russell 2000	2,962.99	▼ -0.4%
US 10Y Treasury	4.55%	▲ sticky-high • 2Y 4.18%
Gold (spot)	\$3,972	▼ -0.5% • below \$4,000
Silver	~\$55	▼ softer
WTI / Brent	\$81.14 / \$85.56	▲ WTI +2.8% • +13% wk • Hormuz
Bitcoin	eased	▼ Iran risk-off

▲ / green = up • ▼ / red = down. For yields, ▲ means the level rose — not necessarily positive for risk assets. All three major indexes posted weekly losses; the SOX chip index had its worst week of the year.

TL;DR: A **chip-led selloff** capped a losing week — semis got smoked and Netflix sank **~10%** on soft guidance — while an **oil spike** (WTI **+13%** on the week on US-Iran/Hormuz) lifted energy, kept yields sticky and knocked gold below **\$4,000**. Now into the year's biggest earnings week — Alphabet, Tesla, Intel — plus the ECB.

The big picture — what it means

- The AI trade is being stress-tested on monetisation, not demand.** Chips were smoked all week (SOX worst week of 2026); Netflix **-10%** on decelerating guidance. Read: this is a crowded-trade unwind around who actually earns a return on AI spend — not a collapse in end-demand, which TSMC's record Q2 (**+77%** profit, FY outlook past **40%**) flatly contradicts. Watch for rotation within AI (foundry/infrastructure over model-makers and richly-valued growth) rather than out of it. This week's Alphabet/Tesla/Intel/TXN prints are the direct test.
- Oil is the new macro swing factor.** WTI jumped **+2.8%** Friday to **\$81.14** and **+13%** on the week as renewed US airstrikes on Iran put a Strait-of-Hormuz risk premium back into crude (Brent **\$85.56**). Read: energy is leading, and a firmer oil price keeps inflation expectations and long-end yields sticky (**10Y 4.55%**) — which in turn pressures long-duration tech and gold. A tanker/shipping-disruption headline is the tail risk to watch first thing.
- Valuation anxiety resurfaced over the weekend.** Commentary flagged a Shiller CAPE around **42** (near dot-com extremes), Berkshire sitting on **~\$370bn** cash, and the "Buffett indicator" near **237%**. Read: none of this is a timing signal, but it frames why a single soft guide (Netflix) or model delay (Google) triggers outsized moves — the market is priced for perfection into earnings season, leaving little cushion for disappointment.
- This week is the AI proof-point — and a central-bank week.** Alphabet, Tesla and Texas Instruments report Wed; Intel Thu; the ECB decides Thu; China sets the LPR Tue; and global flash PMIs land Fri. Read: after a jittery week, the tape needs these mega-cap prints to justify AI capex with tangible returns. Guidance — not the headline beat — will set the tone.

Rates, currencies & commodities

Rates & credit

- Yields stayed sticky-high.** 10Y 4.55%, 2Y 4.18% (2s10s **~+37bp**) — the prior week's firm US data (jobless claims a **10-week** low, retail sales in line) plus the oil breakout keep "higher-for-longer" front of mind and have trimmed **2026** Fed-cut pricing. The ECB (Thu) and flash PMIs (Fri) are the week's rate catalysts.

- **No credit stress.** A chip-and-single-name-led selloff is not systemic risk-off; IG and HY spreads stayed near cycle-tight. The tell to watch is whether rising real yields keep pressuring megacap tech and gold. (Confirm live spread levels on the desk.)

Currencies

- **Dollar firm.** The DXY held up as data and the oil bid pushed yields higher and pared cut bets. Yen remains weak on the wide US-Japan rate gap — intervention-watch territory, with Japan's core CPI due Fri. USD/CNH trades around Tuesday's LPR fix for Beijing's tolerance on the yuan.

Commodities

- **Oil firmer on geopolitics.** WTI **\$81.14 (+2.8%, +13% wk)**, Brent **\$85.56**, bid on renewed US strikes on Iran and Hormuz shipping risk. Energy was Friday's best-performing sector.
- **Precious metals sold off.** Gold **-0.5%** to **\$3,972** (back below **\$4,000**), silver near **\$55** — pressured by firm real yields and a stronger dollar, only partly cushioned by the Hormuz safe-haven bid. Gold is caught between higher-for-longer (bearish) and geopolitics (bullish).

Corporate news

- **Netflix (-10%):** Q3 revenue guidance of only **~+11.7%** growth disappointed; stock hit multi-year lows and led the tape lower. The clearest warning shot to the premium-growth cohort into earnings season.
- **Semiconductors smoked:** the SOX had its worst week of the year. Memory and AI-adjacent names led declines; Intuitive Surgical **-11.4%** and Cadence **-9.8%** were among Friday's biggest single-name drops. TSMC's record Q2 was the sector's one bright spot.
- **United Airlines:** a reservation-system outage hit major hubs; the stock was down **~8.4%** on the week — an operational-risk reminder into a heavy travel-earnings stretch.
- **Fifth Third Bancorp:** beat Q2 with revenue up sharply year-on-year following the Comerica merger — a constructive regional-bank read as financials report through the week.
- **Boeing / Farnborough:** management stressed production ramp-up over chasing new orders at the airshow — execution-first messaging.
- **Energy & defensives led Friday:** Travelers **+7.4%** (insurance), plus gains in staples/commodity names (Casey's, ADM) as money rotated toward oil, healthcare and value.

Macro data

- **Last week (US):** retail sales **+0.2%** (in line), initial jobless claims a **10-week low (~208k)**, soft PPI/CPI but a resilient consumer and labour market → **2026** rate-cut odds trimmed, "higher-for-longer" reinforced.
- **Last week (China):** Q2 GDP **+4.3%** YoY (just below the **~4.5%** goal); June retail sales beat and industrial production firm, but fixed-asset investment **-5.7%** YTD on the property drag → consumption stabilising, investment slumping, louder stimulus calls.
- **This week:** China LPR (Tue), US existing/new home sales, ECB (Thu), and global flash PMIs + Japan core CPI (Fri) — see the calendar below.

Geopolitics

- **US-Iran / Strait of Hormuz:** fresh US airstrikes and threats over the weekend escalated tensions; Gulf equity markets fell. The swing factor for oil — and, by extension, near-term inflation and yields — is any tanker/shipping-disruption headline. The single most important thing to check first thing.

Week ahead — 20–24 July

Day	Central banks & data	Key earnings
Mon 21 Jul	US Leading Economic Index (Jun)	Quiet start
Tue 21 Jul	China PBoC 1-yr & 5-yr LPR fix	3M, General Motors
Wed 22 Jul	US existing home sales; EIA crude stocks	Alphabet, Tesla, Texas Instruments,

Day	Central banks & data	Key earnings
		ServiceNow
Thu 23 Jul	ECB rate decision + Lagarde; US jobless claims	Intel, American Airlines
Fri 24 Jul	Global flash PMIs (US/EZ/JP); Japan core CPI; US new home sales	Amex, ExxonMobil

The heaviest week of Q2 season collides with the ECB. Alphabet, Tesla, Texas Instruments and ServiceNow (Wed) then Intel (Thu) are the mega-cap AI tests; Exxon (Fri) reports straight into the oil spike. Guidance on AI returns and capex will matter more than the headline numbers.

Asia setup — today (Mon 20 Jul)

Asia opens into a soft US tech handover after Friday's chip rout. Regional semis and memory (TSMC, SK Hynix, Samsung, SMIC) are the pressure point, partly cushioned by TSMC's blowout print. Technicals are mixed-to-heavy: Nikkei ~**64,141** (broke short-term support — "watch"), Hang Seng ~**24,562** (falling trend — soft), Singapore STI ~**5,509** firmer, Sydney ~**8,979** heavy. Key tells: (a) whether the July HK-tech rebound (Alibaba/Xiaomi) can hold against a weak global tech tape; and (b) energy/materials outperformance on the oil bid. WAIC in Shanghai wraps today — watch for Chinese model/chip/robotics headlines. Gold and oil trade off the next Hormuz update.

Beyond the markets — also worth knowing

- **World Cup — Spain are champions.** Spain beat Argentina **1-0** in the final at MetLife (Sun **19 Jul**), Ferran Torres scoring the extra-time winner to deny Messi a farewell title — Spain's second World Cup. Market angle: a win for sponsors (Adidas, Visa, Coca-Cola), streamers and host-city economies.
- **WAIC 2026 wraps today (Shanghai, 17-20 Jul).** A record edition with hundreds of product debuts and model/robotics launches — a live read on China's AI momentum landing into a jittery global AI tape; watch for names that touch Alibaba, Xiaomi, SMIC and the compute/memory complex.
- **Valuation watch.** The weekend's recurring theme — CAPE ~**42**, Berkshire's ~**\$370bn** cash pile, "Buffett indicator" ~**237%** — is less a timing signal than a reminder that the market is priced for perfection into a make-or-break earnings week.

Sources: TheStreet, Yahoo Finance, CNBC, Kitco, Fortune, ETF Trends, TradingKey, Investtech, ts2.tech, FIFA/ESPN. Figures are Fri 17 Jul close unless noted; verify live prices before acting. Live Hedgeye Risk Ranges, the Mag7 scoreboard, fund-letter synthesis and per-name prices need the logged-in browser and will refresh on an attended run.

Appendix — Stock cards (6-month)

The names driving this week's tape — 6-month chart through Fri 17 Jul close and a one-line read. Charts: Google Finance. Live prices/valuations refresh on an attended (browser-connected) run.

Alphabet (Google) NASDAQ: GOOGL

\$354.46 ▲ +7.41% (+24.46) 6M ▲ +0.86% (+3.05)
Closed: Jul 16, 4:00:00 PM UTC-4 · USD After hours · 7:59 PM



Epicentre of the AI-monetisation wobble after the Gemini 3.5 Pro delay. Six-month trend still positive but round-tripping from spring highs. Reports Wed 22 Jul — the week's marquee AI print.

TSMC (ADR) NYSE: TSM

\$409.74 ▲ +19.67% (+67.34) 6M ▼ -0.77% (-3.14)
Closed: Jul 16, 4:00:05 PM UTC-4 · USD After hours · 7:59 PM



The counterpoint to the wobble — record Q2 (net profit +77%, FY outlook raised past 40%). Up ~20% over six months; the relative safe-haven in the chip complex as demand for AI silicon stays ferocious.

Netflix NASDAQ: NFLX (split-adj.)

\$74.35 ▼ -15.51% (-13.65) 6M ▼ -9.05% (-6.73)
Closed: Jul 16, 4:00:01 PM UTC-4 · USD After hours · 7:59 PM



"Punished for merely-good": fell ~10% Friday on soft Q3 guidance (+11.7% rev growth) to multi-year lows. Zero market tolerance for deceleration in premium-multiple compounders.

SanDisk NASDAQ: SNDK



The face of memory volatility — a huge six-month moonshot now sold off hard with the memory complex. The chart captures the entire memory boom-and-wobble in one line.

Alibaba (ADR) NYSE: BABA

\$117.49 ▼ -28.97% (-47.91) 6M ▼ -0.07% (-0.080)
Closed: Jul 16, 4:03:24 PM UTC-4 · USD After hours · 7:59 PM



Down over six months but staging a sharp July rebound — the HK/China tech bounce. Momentum has reversed higher; a key tell for whether Asia tech can decouple from a weak US tape.

Xiaomi HKEK: 1810

\$27.36 ▼ -25.00% (-9.12) 6M
Jul 17, 10:21:49 AM UTC+8 · HKD



Off its highs but rebounding with the July Hang Seng-tech recovery alongside Alibaba. Still well below its 52-week high; a read on China consumer-tech risk appetite.

Pop Mart HKEK: 9992

\$164.60 ▼ -8.96% (-16.20) 6M
Jul 17, 10:09:39 AM UTC+8 · HKD



Boom-bust IP/consumer bellwether — spiked then crashed, now stabilising. A useful read on China discretionary demand.

SMIC HKEK: 0981

\$72.25 ▼ -6.17% (-4.75) 6M
Jul 17, 10:17:16 AM UTC+8 · HKD



China's top foundry — choppy and pressured with the broader chip complex; tied to the ChangXin Memory IPO supply theme and mainland chip weakness.

SK Hynix KRX: 000660

₩1,842,000.00 ▲+141.10% (+1,078,000.00) 6M

Jul 16, 3:30:25 PM UTC+9 · KRW



The memory supercycle in one chart: a big six-month run, then a sharp pullback from the highs. The clearest gauge of the memory-sector unwind driving Asia semis.

Samsung Electronics KRX: 005930

₩255,000.00 ▲+70.80% (+105,700.00) 6M

Jul 16, 3:30:24 PM UTC+9 · KRW



Up strongly over six months on the memory/AI cycle, now pulling back with the complex. A broad proxy for the Asian tech-hardware trade.

Charts show the six months ending Fri 17 Jul close. Verify live prices before acting.